

surface, but the underlying businesses are subject to the same fundamental pressures. In 2022, these included rising interest rates, inflation, at least two consecutive quarters of declining GDP, volatile energy prices, labor shortages, persistent supply chain delays, and the war in Ukraine. Public shares fell 23% over the first half of the year, yet private equity managers were still touting past rosy returns. Beneath the surface, the \$3.3 trillion in private equities, most of it invested at elevated prices, faced the same pressures. An index that mapped the public stock equivalents of private equity portfolios had fallen 37%.⁵ To the extent that past performance of private equity benefitted from their considerably higher levels of debt, Graham would have shuddered. As he knew, debt is a double-edged sword; it magnifies returns on the way up, but imposes killer costs as interest rates rise or alternatively, as business slows. The U.S. economy was experiencing both, and slowdowns appeared to be underway in Europe, Britain, and China as well.

Graham would also have been mystified by the phenomenon known as meme stocks. In the early 2020s, these attracted considerable followings (and valuations) on the sole basis of social media promotion. The most celebrated of these, GameStop, a chain of video game stores operating at a loss, caught the attention of small investors who traded on a mobile trading app. The small investors trumpeted their lack of investing experience as a badge of honor; some asserted that their motive was less profit than to inflict losses on professional investors who had sold the stock short. In a matter of months, GameStop shares vaulted from single digits to \$483, representing a total valuation of more than \$30 billion. The retail investors were egged on by celebrity touts such as Jim Cramer, a television financial commentator, and billionaire Elon Musk, and encouraged by elected officials who imagined that they represented a populist crusade against

⁵ "PE Lessons," *The Economist*, July 9, 2022.